

TO EXECUTIVE TEAM

ALPHA MANUFACTURING GROUP (AMG)

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ERP TRANSFORMATION STRATEGY

EXECUTIVE MEMORANDUM

EXECUTIVE SUMMARY AND STRATEGIC OBJECTIVES

Alpha Manufacturing Group (AMG) generates ~\$100M in annual revenue across 5 US and Canadian locations. Delivery of engineer-to-order capital equipment is bottlenecked by a legacy software landscape. Last year, ~80% of custom orders suffered margin erosion.

This is driven by a critical systematic issue. The 20+ year old core ERP (Finance, Manufacturing/MRP, Procurement) cannot communicate in real time with the separate Engineering database holding Bills of Materials (BOM) and Engineering Change Notices (ECNs). Relying on a fragile nightly sync, the factory floor faces manufacturing delays whenever the sync fails. Furthermore, scattered data across unintegrated cloud CRM, siloed HRIS/Payroll and Excel leaves leadership with zero contribution margin visibility and unreliable labour tracking.

A 12 month transformation program will replace the legacy system with a modern cloud ERP to rationalize the landscape, improve data governance and secure clear margin transparency.

OVERALL APPROACH

KEY OBJECTIVES OF THE PROGRAM

- **Establish Financial Visibility:** Implement a reliable contribution margin view to pause the margin erosion affecting ~80% of custom orders.
- **Eliminate Operational Delays:** Replace the fragile nightly engineering sync with an integrated system layout to ensure BOM and ECN updates are instantly made available to manufacturing.
- **Minimize Operational Risk:** Rationalize the software landscape while ensuring that day to day operations across all 5 locations continue without disruption.

PHASED IMPLEMENTATION FRAMEWORK

- **Phase 1: Core Financial Foundation (Months 1 – 4):** Set up core Finance and Procurement modules to establish a clean multi-entity ledger without altering active shop floor workflows.
- **Phase 2: Manufacturing Pilot (Months 5 – 8):** Launch the full Manufacturing/MRP modules and the new Engineering integration at a single representative pilot facility. This allows us to test the process and clear errors in a controlled environment.
- **Phase 3: Rollout and Post-Launch Support (Months 9 -12):** Deploy the finalized manufacturing template to the remaining operations locations, backed by dedicated on-site support teams.

RISKS AND MITIGATIONS

1. **Migrating Fragmented or Flawed Legacy Data:** Moving unverified data from the legacy system into the cloud ERP can cause immediate material planning errors and stock shortages. To

mitigate this, a data filter will be used, migrating only bills of materials (BOMs) for active, open customer orders while archiving the rest.

2. **Continued Reliance on Excel:** Staff accustomed to manual spreadsheets may resist the new system, keeping data siloed. This will be countered through selecting key operators from Finance, Engineering and Procurement early to assist with workflow and act as on-site coaches.
3. **Scope Creep:** Departments attempting to customize the new cloud software to mirror legacy habits will compromise the platform and miss the 12 month deadline. Our mitigation is a strict executive Change Control Board (CCB) to enforce rigorous scope control.
4. **Inter-Location Data Mismatch:** Operating on the new ERP at the pilot site while other locations remain on the legacy system could temporarily distort multi-entity reporting. Temporary Bridging Controls will be deployed to standardize manual ledger summaries during the transition months to keep financial reporting aligned.

SCOPE CONTROL PROTOCOL

To safeguard the 12 month timeline, the CCB will mandate a strict approval process. Custom programming is banned unless absolutely necessary to execute a proprietary engineer-to-order manufacturing process that cannot be handled by standard system workflows.

SCOPE AND SEQUENCING

DAY-1 MUST HAVES

- **Unified Manufacturing/MRP and Finance Ledger:** Must instantly map procurement, inventory and production costs to resolve the visibility gaps causing margin erosion.
- **Direct Engineering System Integration:** Real-time connection replacing the nightly sync, linking the BOM and ECN database directly to production to eliminate manufacturing delays.
- **Labour Tracking Terminals:** Simple, direct data-entry interfaces on the production floor to replace loose spreadsheet logs, providing reliable tracking of direct labour hours per project.

MIGRATION EXCLUSIONS

- **Cloud CRM Synchronization:** The sales platform will remain will unintegrated during the first phase. Completed customer orders will be manually keyed into the ERP by an order-entry desk.
- **Siloed HRIS and Payroll Sync:** Payroll data will remain completely detached from the core system. Financial totals will be transferred to the central ledger via monthly journal entries.

- **Aftermarket Parts Automated Portals:** Workflows will be handled natively inside the core ERP using standard internal order forms, deferring external customer portals.

CUSTOMIZATION DISCIPLINE

AMG will enforce a strict Fit-to-Standard software discipline. Company processes will be adjusted to fit the standard system design, rather than writing expensive, custom code to match historical legacy processes. Customization will only be evaluated if a workflow directly impacts the core competitive advantage of our engineer-to-order capital equipment.

DATA AND REPORTING

HISTORICAL DATA MIGRATION STRATEGY

- **Live Data Migration:** Will migrate only master vendor and customer records, current open invoices, active BOMs for ongoing orders, and the minimum required history (such as 3 years of audited financials) directly into the new live ERP.
- **Legacy Archive:** The remaining transaction logs will be moved to a separate, low-cost cloud data warehouse.

REPORTING DURING THE TRANSITION

To ensure leadership maintains uninterrupted access to historical data and KPIs, we will connect a central reporting tool (Power Bi) to both the legacy archive warehouse and the new cloud ERP. This creates a unified reporting interface, allowing executives to analyze long-term trends and run historical comparisons across all operating locations without negatively affecting the active daily production database.

MONTH-END FINANCIAL CLOSE CONTINUITY

- **Read-Only Legacy Cushion:** The 20+ year-old legacy ERP will remain available in a read-only state for 90 days post-launch. This allows the finance team to look up old records and verify balances without any risk of changing live operational numbers.
- **Quarter-Start Cutover:** The live launch date will be scheduled for the first day of a new financial quarter, avoiding complex mid-month partial calculations.
- **The Mock Close:** Two weeks prior to the live launch, the accounting department will conduct a full, realistic “dry-run” month-end close using a cloned copy of current business data. This ensures that when the first real month-end close occurs in the cloud ERP, the team will have already mastered the process.